

MODEL TEST PAPER 1
INTERMEDIATE COURSE: GROUP - I
PAPER – 1 : ADVANCED ACCOUNTING

Time Allowed – 3 Hours

Maximum Marks – 100

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*

PART I – Case Scenario based MCQs (30 Marks)

Part I is compulsory.

Case Scenario

1. SEAS Ltd., the “Company”, is in the business of tours and travels. It sells holiday packages to the customers. The Company negotiates upfront with the Airlines for specified number of seats in flight. The Company agrees to buy a specific number of tickets and pay for those tickets regardless of whether it is able to resell all of those in package.

The rate paid by the Company for each ticket purchased is negotiated and agreed in advance. The Company also assists the customers in resolving complaints with the service provided by airlines. However, each airline is responsible for fulfilling obligations associated with the ticket, including remedies to a customer for dissatisfaction with the service.

The Company bought a forward contract for three months of US\$ 1,00,000 on 1 March 2024 at 1 US\$ = INR 83.10 when exchange rate was US\$ 1 = INR 83.02. On 31 March 2024, when the Company closed its books, exchange rate was US\$ 1 = INR 83.15. On 1 April 2024, the Company decided for premature settlement of the contract due to some exceptional circumstances.

The Company is evaluating below mentioned schemes:

- i. Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement.
- ii. Management decided to pay pension to those employees who have retired after completing 5 years of service in the organization. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organization.

SEAS Ltd. has a subsidiary, ADI Ltd., which is in the business of construction having turnover of ₹ 200 crores. SEAS Ltd. and ADI Ltd. hold 9% and 23% respectively in an associate company, ASOC Ltd. Both SEAS Ltd. and ADI Ltd. prepare consolidated financial statements as per Accounting Standards notified under the Companies (Accounting Standards) Rules, 2021.

- i. What would be the basis of revenue recognition for SEAS Ltd. as per the requirements of Accounting Standards?
(a) Gross basis.

- (b) Net basis.
 - (c) Depends on the accounting policy of the Company.
 - (d) Indian GAAP allows a choice to the Company to recognize revenue on gross basis or net basis.
- ii. Please suggest accounting treatment of forward contract for the year ended 31 March 2024 as per Accounting Standard 11.
 - (a) MTM (marked to market value) of contract will be recorded on 31 March 2024.
 - (b) MTM (marked to market value) of contract will be computed as at 31 March 2024 and only if there is loss, it will be recorded during the year ended 31 March 2024.
 - (c) No accounting will be done during the year ended 31 March 2024.
 - (d) Premium on contract will be amortized over the life of the contract.
- iii. You are requested to advise the Company in respect of the accounting requirements of above schemes related to employee benefits as to which one of those schemes should be considered as a change in accounting policy during the year.
 - (a) 1 – Change in accounting policy. 2 – Change in accounting policy.
 - (b) 1– Not a change in accounting policy. 2 – Change in accounting policy.
 - (c) 1 – Not a change in accounting policy. 2 – Not a change in accounting policy.
 - (d) 1– Change in accounting policy. 2 – Not a change in accounting policy.
- iv. Please comment regarding consolidation requirements for SEAS Ltd. and ADI Ltd. using the below mentioned options as to which one should be correct.
 - (a) ADI Ltd. would using equity method of accounting for 23% in ASOC Ltd. SEAS Ltd. would consolidate ADI Ltd. and consequently automatically equity account 23% and separately account for the balance 9% as per AS 13.
 - (b) ADI Ltd. would account for 23% in ASOC Ltd. as per AS 13. SEAS Ltd. would consolidate ADI Ltd. and consequently automatically account 23% and separately account for the balance 9%.
 - (c) ADI Ltd. would account for 23% share in ASOC Ltd using equity method of accounting. SEAS Ltd. would consolidate ADI Ltd. and consequently, automatically account for ASOC Ltd 23% share and separately account for 9% share in ASOC Ltd. using equity method of accounting in consolidated financial statements.
 - (d) ADI Ltd. would account for 23% in ASOC Ltd. as per AS 13. SEAS Ltd. would consolidate ADI Ltd. and using equity method of

accounting 23% in ASOC Ltd. and separately account for the balance 9% as per AS 13.

Multiple Choice Questions [4 MCQs of 2 Marks each: Total 8 Marks]

2. On 1st April, 2022, Shubham Limited purchased some land for ₹ 30 lakhs for the purpose of constructing a new factory. This cost of 30 lakhs included legal cost of ₹ 2 lakhs incurred for the purpose of acquisition of this land. Construction work could start on 1st May, 2022 and Shubham Limited provides you the details of the following costs incurred in relation to its construction:

	₹
Preparation and levelling of the land	80,000
Employment costs of the construction workers (per month)	29,000
Purchase of materials for the construction	21,24,000
Cost of relocating employees to new factory for work	60,000
Costs of inauguration ceremony on 1 st January, 2023	80,000
Overhead costs incurred directly on the construction of the factory (per month)	25,000
General overhead costs allocated to construction project by the Manager is ₹ 30,000. However, as per company's normal overhead allocation policy, it should be ₹ 24,000. The auditor of the company has support documentation for the cost of ₹ 15,000 only) and raised objection for the balance amount.	

The construction of the factory was completed on 31st December, 2022 and production could begin on 1st February, 2023. The overall useful life of the factory building was estimated at 40 years from the date of completion. However, it was estimated that the roof will need to be replaced 20 years after the date of completion and that the cost of replacing the roof at current prices would be 25% of the total cost of the building.

The construction of the factory was partly financed by a loan of ₹ 28 lakhs borrowed on 1st April, 2022. The loan was taken at an annual rate of interest of 9%. During the period when the loan proceeds had been fully utilized to finance the construction, Shubham Limited received investment income of ₹ 25,000 on the temporary investment of the proceeds.

You are required to assume that all of the net finance costs to be allocated to the cost of factory (not land) and interest cost to be capitalized based on nine months' period.

Based on the information given in the above scenario, answer the following multiple choice questions:

- Which of the following cost (incurred directly on construction) will be capitalized to the cost of factory building?
 - ₹ 2,00,000 incurred as legal cost
 - ₹ 60,000 – costs of relocating employees
 - ₹ 80,000 costs of inauguration ceremony

- (d) ₹ 24,000 – allocated general overhead cost
- ii. What amount of employment cost of construction workers will be capitalized to the cost of factory building?
- (a) ₹ 2,90,000
(b) ₹ 3,48,000
(c) ₹ 2,32,000
(d) ₹ 29,000
- iii. What is the amount of net borrowing cost capitalized to the cost of the factory?
- (a) ₹ 1,89,000
(b) ₹ 1,68,000
(c) ₹ 1,44,000
(d) ₹ 1,64,000
- iv. What will be the carrying amount (i.e. value after charging depreciation) of the factory in the Balance Sheet of Shubham Limited as at 31st March, 2023?
- (a) ₹ 30,00,000
(b) ₹ 57,78,125
(c) ₹ 27,78,125
(d) ₹ 58,00,000

Multiple Choice Questions [4 MCQs of 2 Marks each: Total 8 Marks]

3. Kesar Ltd., a company engaged in various business activities, has decided to initiate a share buy-back on 1st April, 2023. The company plans to repurchase 25,000 equity shares of ₹ 10 each at a price of ₹ 20 per share. This buy-back initiative is in compliance with the company's articles of association, and the necessary resolution has been duly passed by the company. As part of the financial arrangement for the share buy-back, Kesar Ltd. intends to utilize its current assets, particularly the bank balance, to make the payment for the repurchased shares.

Here is a snapshot of Kesar Ltd.'s Balance Sheet as of 31st March, 2023:

- A. Share Capital: Equity share capital (fully paid up shares of ₹ 10 each) - ₹ 12,50,000
- B. Reserves and Surplus: Securities premium ₹ 2,50,000; Profit and loss account ₹ 1,25,000; Revenue reserve ₹ 15,00,000;
- C. Long term borrowings: 14% Debentures- ₹ 28,75,000, Unsecured Loans - ₹ 16,50,000
- D. Land and Building ₹ 19,30,000; Plant and machinery ₹ 18,00,000; Furniture and fitting ₹ 9,20,000 and Other Current Assets - ₹ 30,00,000

Authorized, issued and subscribed capital: Equity share capital (fully paid up shares of 10 each) - 12,50,000.

- i. By using the Shares Outstanding Test the number of shares that can be bought back
 - (a) 1,25,000
 - (b) 31,250
 - (c) 25,000
 - (d) 30,000
- ii. By using the Resources Test determine the number of shares that can be bought back:
 - (a) 25,000
 - (b) 31,250
 - (c) 28,750
 - (d) 39,062
- iii. By using the Debt Equity Ratio Test determine the number of shares that can be bought back:
 - (a) 25,000
 - (b) 31,250
 - (c) 28,750
 - (d) 39,062
- iv. On the basis of all three tests determine Maximum number of shares that can be bought back:
 - (a) 25,000
 - (b) 31,250
 - (c) 28,750
 - (d) 39,062

Multiple Choice Questions [4 MCQs of 2 Marks each: Total 8 Marks]

4. All of the following costs are excluded while computing value of inventories except?
- (a) Selling and Distribution costs
 - (b) Allocated fixed production overheads based on normal capacity.
 - (c) Abnormal wastage
 - (d) Storage costs (which is necessary part of the production process)

(2 Marks)

5. According to AS-18 Related Party Disclosures, which ONE of the following is not a related party of Skyline Limited?
- A shareholder of Skyline Limited owning 30% of the ordinary share capital
 - An entity providing banking facilities to Skyline Limited in the normal course of business
 - An associate of Skyline Limited
 - Key management personnel of Skyline Limited **(2 Marks)**
6. A process of reconstruction, which is carried out without liquidating the company and forming a new one is called
- Internal reconstruction.
 - External reconstruction.
 - Amalgamation in the nature of merger.
 - Amalgamation in the nature of purchase. **(2 Marks)**

PART II – Descriptive Questions (70 Marks)

Question No.1 is compulsory.

*Answer any **four** questions from the remaining **five** questions.*

Wherever necessary, suitable assumptions may be made and indicated in answer by the candidates. Working Notes should form part of the answer.

1. (a) Innovative Garments Manufacturing Company Limited invested in the shares of another company on 1st October, 2022 at a cost of ₹ 2,50,000. It also earlier purchased Gold of ₹ 4,00,000 and Silver of ₹ 2,00,000 on 1st March, 2020. Market value as on 31st March, 2023 of above investments are as follows:

	₹
Shares	2,25,000
Gold	6,00,000
Silver	3,50,000

How above investments will be shown in the books of accounts of Innovative Garments Manufacturing Company Limited for the year ending 31st March, 2023 as per the provisions of Accounting Standard 13 "Accounting for Investments"? **(5 Marks)**

- (b) Lessee Ltd. took a machine on lease from Lessor Ltd., the fair value being ₹ 7,00,000.

The economic life of machine as well as the lease term is 3 years. At the end of each year Lessee Ltd. pays ₹ 3,00,000. The Lessee has guaranteed a residual value of ₹ 22,000 on expiry of the lease to the Lessor. However, Lessor Ltd., estimates that the residual value of the

machinery will be only ₹ 15,000. The implicit rate of return is 15% p.a. and present value factors at 15% are 0.869, 0.756 and 0.657 at the end of first, second and third years respectively.

Calculate the value of machinery to be considered by Lessee Ltd. and the finance charges in each year. **(5 Marks)**

- (c) X Ltd. purchased a Property, Plant and Equipment four years ago for ₹ 150 lakhs and depreciates it at 10% p.a. on straight line method. At the end of the fourth year, it has revalued the asset at ₹ 75 lakhs and has written off the loss on revaluation to the profit and loss account. However, on the date of revaluation, the market price is ₹ 67.50 lakhs and expected disposal costs are ₹ 3 lakhs. What will be the treatment in respect of impairment loss on the basis that fair value for revaluation purpose is determined by market value and the value in use is estimated at ₹ 60 lakhs?. **(4 Marks)**

2. Following is the trial balance of Delta limited as on 31.3.2023.

(Figures in ₹ '000)

Particulars	Debit	Particulars	Credit
Land at cost	800	Equity share capital (shares of ₹ 10 each)	500
Calls in arrears	5	10% Debentures	300
Cash in hand	2	General reserve	150
Plant & Machinery at cost	824	Profit & Loss A/c (balance on 1.4.22)	75
Trade receivables	120	Securities premium	40
Inventories (31-3-23)	96	Sales	1200
Cash at Bank	28	Trade payables	30
Adjusted Purchases	400	Provision for depreciation	150
Factory expenses	80	Suspense Account	10
Administrative expenses	45		
Selling expenses	25		
Debenture Interest	30		
	2455		2455

Additional Information:

- The authorized share capital of the company is 80,000 shares of ₹ 10 each.
- The company revalued the land at ₹ 9,60,000.
- Equity share capital includes shares of ₹ 50,000 issued for consideration other than cash.
- Suspense account of ₹ 10,000 represents cash received from the sale of some of the machinery on 1.4.2022. The cost of the machinery was

₹ 24,000 and the accumulated depreciation thereon being ₹ 20,000. The balance of Plant & Machinery given in trial balance is before adjustment of sale of machinery.

- (v) Depreciation is to be provided on plant and machinery at 10% on cost.
- (vi) Balance at bank includes ₹ 5,000 with ABC Bank Ltd., which is not a Scheduled Bank.
- (vii) Make provision for income tax @30%.
- (viii) Trade receivables of ₹ 50,000 are due for more than six months.

You are required to prepare Delta Limited's Balance Sheet as at 31.3.2023 and Statement of Profit and Loss with notes to accounts for the year ended 31.3.2023 as per Schedule III. Ignore previous year's figures & taxation.

(14 Marks)

3. (a) Y Ltd., used certain resources of X Ltd. In return X Ltd. received ₹ 10 lakhs and 15 lakhs as interest and royalties respective from Y Ltd. during the year 2022-23. You are required to state whether and on what basis these revenues can be recognized by X Ltd. **(4 Marks)**

- (b) Following is the Balance Sheet of ABC Ltd. as at 31st March, 2023:

		Particulars	Notes	₹
		Equity and Liabilities		
1		Shareholders' funds		
	A	Share capital	1	26,00,000
	B	Reserves and Surplus	2	(4,05,000)
2		Non-current liabilities		
	A	Long-term borrowings	3	12,00,000
3		Current liabilities		
	A	Trade Payables		5,92,000
		Short term borrowings - Bank		<u>1,50,000</u>
	B	overdraft		
		Total		<u>41,37,000</u>
		Assets		
1		Non-current assets		
	A	Property, plant and equipment	4	11,50,000
	B	Intangible assets	5	70,000
	C	Non-current investment	6	68,000
2		Current assets		
	A	Inventory		14,00,000
	B	Trade receivables		14,39,000

C	Cash and cash equivalents	<u>10,000</u>
	Total	<u>41,37,000</u>

Notes to accounts

		₹
1	Share Capital	
	Equity share capital:	
	2,00,000 Equity Shares of ₹ 10 each	20,00,000
	6,000, 8% Preference shares of ₹ 100 each	<u>6,00,000</u>
		<u>26,00,000</u>
2	Reserves and Surplus	
	Debit balance of Profit and loss A/c	<u>(4,05,000)</u>
		<u>(4,05,000)</u>
3	Long-term borrowings	
	9% debentures	<u>12,00,000</u>
		<u>12,00,000</u>
4	Property, Plant and Equipment	
	Plant and machinery	9,00,000
	Furniture and fixtures	<u>2,50,000</u>
		<u>11,50,000</u>
5	Intangible assets	
	Patents and copyrights	<u>70,000</u>
		<u>70,000</u>
6	Non-current investments	
	Investments (market value of ₹ 55,000)	<u>68,000</u>
		<u>68,000</u>

The following scheme of reconstruction was finalized:

- (i) Preference shareholders would give up 30% of their capital in exchange for allotment of 11% Debentures to them.
- (ii) Debenture holders having charge on plant and machinery would accept plant and machinery in full settlement of their dues.
- (iii) Inventory equal to ₹ 5,00,000 in book value will be taken over by trade payables in full settlement of their dues.
- (iv) Investment value to be reduced to market price.
- (v) The company would issue 11% Debentures for ₹ 3,00,000 and augment its working capital requirement after settlement of bank overdraft.

Pass necessary Journal Entries in the books of the company. Prepare Capital Reduction account and Balance Sheet extract for Equity & Liabilities of the company after internal reconstruction. **(10 Marks)**

4. The financial position of two companies Hari Ltd. and Vayu Ltd. as at 31st March, 2023 was as under:

		Particulars	Notes	Hari Ltd.	Vayu Ltd.
1		Equity and Liabilities			
		Shareholders' funds			
	A	Share capital	1	11,00,000	4,00,000
	B	Reserves and Surplus	2	70,000	70,000
2		Non-current liabilities			
	A	Long term provisions	3	50,000	20,000
3		Current liabilities			
	A	Trade Payables		<u>1,30,000</u>	<u>80,000</u>
		Total		<u>13,50,000</u>	<u>5,70,000</u>
		Assets			
1		Non-current assets			
	A	Property, Plant and Equipment	4	8,00,000	2,50,000
	B	Intangible assets	5	50,000	25,000
2		Current assets			
	A	Inventories		2,50,000	1,75,000
	B	Trade receivables		2,00,000	1,00,000
	C	Cash and Cash equivalents		<u>50,000</u>	<u>20,000</u>
		Total		<u>13,50,000</u>	<u>5,70,000</u>

Notes to accounts

			Hari Ltd.	Vayu Ltd.
1	Share Capital			
	Equity shares of ₹ 10 each		10,00,000	3,00,000
	9% Preference Shares of ₹ 100 each		1,00,000	--
	10% Preference Shares of ₹ 100 each		<u>--</u>	<u>1,00,000</u>
			<u>11,00,000</u>	<u>4,00,000</u>

2	Reserves and Surplus			
	General reserve		<u>70,000</u>	<u>70,000</u>
			<u>70,000</u>	<u>70,000</u>
3	Long term Provisions			
	Retirement gratuity fund		<u>50,000</u>	<u>20,000</u>
			<u>50,000</u>	<u>20,000</u>
4	Property, plant and Equipment			
	Land and Building		3,00,000	1,00,000
	Plant and machinery		<u>5,00,000</u>	<u>1,50,000</u>
			<u>8,00,000</u>	<u>2,50,000</u>
5	Intangible assets			
	Goodwill		<u>50,000</u>	<u>25,000</u>
			<u>50,000</u>	<u>25,000</u>

Hari Ltd. absorbs Vayu Ltd. on the following terms:

- 10% Preference Shareholders are to be paid at 10% premium by issue of 9% Preference Shares of Hari Ltd.
- Goodwill of Vayu Ltd. is valued at ₹ 50,000, Buildings are valued at ₹ 1,50,000 and the Machinery at ₹ 1,60,000.
- Inventory to be taken over at 10% less value and Provision for Doubtful Debts to be created @ 7.5%.
- Equity Shareholders of Vayu Ltd. will be issued necessary Equity Shares @ 5% premium.

Prepare necessary the acquisition entries in the books of Hari Ltd. Also draft the Balance Sheet after absorption as at 31st March, 2023. **(14 Marks)**

- From the Balance Sheets and information given below, prepare Consolidated Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March. Virat Ltd. holds 80% of Equity Shares in Anushka Ltd. since its (Anushka Ltd.'s) incorporation.

Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 2023

Particulars	Note No.	Virat Ltd. (₹)	Anushka Ltd. (₹)
I. Equity and Liabilities			
(1) Shareholder's Funds			
(a) Share Capital	1	6,00,000	4,00,000
(b) Reserves and Surplus	2	1,00,000	1,00,000
(2) Non-current Liabilities			
Long Term Borrowings		2,00,000	1,00,000

(3) Current Liabilities			
(a) Trade Payables		1,00,000	1,00,000
Total		10,00,000	7,00,000
II. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment		4,00,000	3,00,000
(b) Non-current investments	3	3,20,000	-
(2) Current Assets			
(a) Inventories		1,60,000	2,00,000
(b) Trade Receivables		80,000	1,40,000
(c) Cash & Cash Equivalents		40,000	60,000
Total		10,00,000	7,00,000

Notes to Accounts

	Particulars	(₹)	Virat Ltd. (₹)	Anushka Ltd. (₹)
1.	Share capital			
	60,000 equity shares of ₹ 10 each fully paid up		6,00,000	--
	40,000 equity shares of ₹ 10 each fully paid up		---	<u>4,00,000</u>
	Total		<u>6,00,000</u>	<u>4,00,000</u>
2.	Reserves and Surplus			
	General Reserve		<u>1,00,000</u>	<u>1,00,000</u>
	Total		<u>1,00,000</u>	<u>1,00,000</u>
3.	Non-current investments			
	Shares in Anushka Ltd		<u>3,20,000</u>	---

(14 Marks)

6. (a) What are the qualitative characteristics of the financial statements which improve the usefulness of the information furnished therein? **(4 Marks)**

Or

What are the issues, with which Accounting Standards deal? **(4 Marks)**

- (b) From the following information, calculate cash flow from operating activities:

**Summary of Cash Account
for the year ended March 31, 2023**

Particulars	₹	Particulars	₹
To Balance b/d	1,00,000	By Cash Purchases	1,20,000
To Cash sales	1,40,000	By Trade payables	1,57,000
To Trade receivables	1,75,000	By Office & Selling Expenses	75,000
To Trade Commission	50,000	By Income Tax	30,000
To Sale of Investment	30,000	By Investment	25,000
To Loan from Bank	1,00,000	By Repayment of Loan	75,000
To Interest & Dividend	1,000	By Interest on loan	10,000
		By Balance c/d	1,04,000
	5,96,000		5,96,000

(4 Marks)

- (c) Following is the information of the Jammu branch of Best New Delhi for the year ending 31st March, 2023 from the following:

- (1) Goods are invoiced to the branch at cost plus 20%.
- (2) The sale price is cost plus 50%.
- (3) Other information:

	₹
Stock as on 01.04.2022(invoice price)	2,20,000
Goods sent during the year (invoice price)	11,00,000
Sales during the year	12,00,000
Expenses incurred at the branch	45,000

Ascertain

- (i) the profit earned by the branch during the year.
- (ii) branch stock reserve in respect of unrealized profit.

(6 Marks)